

Mahindra Logistics Q1FY23 Revenue was slightly below expectations however EBIDTA margins improved YoY and QoQ basis

(Company has re-stated nos including MERU and some acquisitions)

- **Revenue** for Q1FY23 increased by 36% YoY to Rs 11999mn, mainly led by 36% rise in SCM business that grew to Rs 11427.4mn.
- **EBIDTA margins** stood at 5.5% v/s 4.6% YoY and 4.7% QoQ. Mainly on account of lower increase @ 4.7% YoY in the Employee Cost.
- Transportation led logistics business grew only by 31% to Rs 8771mn whereas Warehouse and services business grew by 57% YoY to Rs 2656mn, which also has higher margins however **the contribution to revenue is 22% v/s 73% in case of transportation.**
- PAT (owners) increased by 310.9% to Rs 135.2mn aided by better EBIDTA margins followed by 211% rise in PBT, lower tax rate @ 28.1% v/s 50.2% YoY

Outlook:

- Overall outlook remains mixed with uncertain global environment, high inflation, high fuel cost rising interest rate and depreciating rupee on negative side and de-bottlenecking of global supply chain, cooling off of commodity and unemployment under control in India on the positive side.
- **Strong Bookings in Auto 4W SUV's will lead to strong H2FY23. Mahindra business contributes 51% to Revenue**
- Productivity and efficiency is the focus in case of E-commerce v/s network expansion
- **New orders worth Rs 2bn executable in next 4 quarters added in Q1FY23**

Rating	TP (Rs)	Up/Dn (%)
HOLD	534	12

Market data

Current price	Rs	473
Market Cap (Rs.Bn)	(Rs Bn)	34
Market Cap (US\$ Mn)	(US\$ Mn)	429
Face Value	Rs	10
52 Weeks High/Low	Rs	821 / 391.1
Average Daily Volume	('000)	508
BSE Code		540768

Bloomberg	MAHLOG.IN
Source: Bloomberg	

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	58.12	58.18
Public	41.88	41.82
Total	100	100

Source: Bloomberg

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net sales	34,711	32,636	41,408	51,029	60,738
EBIDTA	1,582	1,341	1,843	2,737	3,707
Margins	4.6	4.1	4.5	5.4	6.1
PAT (adj)	551	319	176	654	1,285
growth (%)	(35.7)	(42.0)	(45.0)	272.4	96.4
EPS	7.7	4.5	2.4	9.1	17.9
P/E (x)	61.7	106.6	194.6	52.3	26.6
P/B (x)	6.2	6.0	5.8	5.4	4.6
EV/EBITDA (x)	22.1	25.5	19.4	13.3	9.4
RoE (%)	10.1	5.6	3.0	10.3	17.2
ROCE (%)	11.5	5.3	4.3	10.7	16.7

Source: Dalal and Broacha

Kunal Bhatia
+91 22 67141442
kunal.bhatia@dalal-broacha.com

SEGMENTS

• SCM Business (95% Revenue)

- Revenue grew by 36% YoY to Rs 11430mn aided by 56.7% growth in warehouse services that stood at 2656mn.
- MNM SCM revenue growth was higher @ 40.2%YoY to Rs 6160mn (*supported by overall volume growth in MNM @ +45.6% YoY to 271971 units*) as against Non-MNM SCM that grew by 31.4% YoY.
- PBIT margins stood at 6.6% v/s 8.1% YoY due to higher contribution of transportation business, limited operation of 2x2 and softness in margins of Freight-Forward business.
- **3PL (~70% of Revenue) volume +40%** in Auto and other existing accounts. || **Integrated solutions drove Non-MNM business**
- Network Services (~20% of revenue) volume growth stood at +20% YoY includes || a) Freight and forwarding grew at healthy rate with some price increase || b) Express business now has 4000 pin codes || c) Last Mile growth consistent with prior quarters || d) 2x2 fleet in-operative for the quarter.
- Whizzard: (not-consolidated) (36% stake) Revenue @ Rs 290mn +30% YoY || losses 30 lacs
- Warehouse space under management 4.1mn stock yard +13.3mn class-A ware house totaling 17.5mnsq ft. || Additions of 1.5 to 2mn by FY23 end. Also new sites i.e. Nashik, Bhiwandi, Guwahati and Patna are in-pipeline (~2.5mn tendered)

Enterprise Mobility: (5% of Revenue) Now includes MERU as well

- Revenue increased by 32.5% YoY to Rs 571mn and PBIT margins improved to 6.8%
- Work from Office aided demand
- Anticipate consolidation in the industry
- MERU: Volume up 50% on a YoY basis || 430 vehicles (250 EV, 180 ICE)
- Meru Q1FY23: Revenue Rs 220mn || PAT @ Rs 20mn v/s loss of Rs 60mn YoY
- Trip-levels has gone up by 30% but previous kms haven't come back.

Other Points

- Overall Network: Network Hubs 32+ || Customers 300+ || Active Business partners 1750+ || Operating Locations 500+ || Drivers 6000+ || vehicles deployed per day 5500+
- Grade 'A' warehouse space at 13.3mn sqft in Q1FY23 to v/s 13.4mn sq ft in Q4FY22 (11.1mn sqft FY21)
- Overall space under management stood at 17.4mnsqft

Conference Call Highlights

DEMAND (Overall)

- Overall logistics solution is witnessing an improving trend
- Strong Bookings in Auto 4W SUV's will lead to strong H2FY23. Mahindra business contributes 51% to Revenue
- New orders worth Rs 2bn executable in next 4 quarters added in Q1FY23

BUSINESS (Automotive)

- Last year Covid and supply chain issues impacted revenues, however this year scenario has changed and volumes expected to cross pre-covid
- 2W performance remains muted as rise in fuel prices have increased cost of ownership
- Shift towards EV 3w is accelerating
- PV demand improving with semi-conductor issue getting resolved. Booking for small and large SUV's very strong. **2nd Half is expected to be much better**

BUSINESS (Farm & Agro)

- Tractor rebounded in Q1 v/s Q4

BUSINESS (E-Commerce)

- Demand strong but still lower than expected in some categories
- In case of Market-Places productivity and efficiency is the focus v/s expansion

BUSINESS (Consumer Pharma, FMCG and consumer durable)

- Home Improvement theme is playing well, since Covid however have seen some moderation due to inflation
- Air-Condition and Fans in consumer durables is doing well
- Consumer appliance strong April and May, June witnessed some slowdown
- FMCG and Personal care witnessing moderate growth
- Omni-channel witnessing pick-up in designing of network

FREIGHT FORWARDING

- Demand is robust. US and Europe based business remains strong
- Supply scenario is variable
- Margin were slightly under pressure

NEW CLIENT ADDITIONS

- Fulfilment centre for one quick-commerce client in Hyderabad
- Multi-modal transport for a leading pharma company
- An Existing Retail company expanded in 3 new states

BAJAJ ELECTRICALS

- Integration complete, full implementation by next quarter

FINANCE AND OPERATIONS

- Overall gross Margins @ 10.5% v/s 10.3%. On one side high volume and cost efficiency aided margins however higher contribution of transportation business, limited operation of 2x2 and softness in margins of Freight-Forward business impacted margins.
- Business Break-up broadly 70% integrated solutions, 25% Network Services and 5% mobility
- **MARGINS outlook:** Network Services is expected to increase to 30% in few years. Margins in network services is higher v/s 3PL however in case of MLL they are in investing phase.

Quarterly Financials

MAHLOGISTICS (Rs Mns)	Q1FY22	Q4FY22	Q1FY23	YoY Growth	QoQ Growth
Revenue	8832	10885.3	11999	35.9%	10.2%
Other Income	20.8	63	30.9	48.6%	-51.0%
Total Income	8852.8	10948.3	12029.9	35.9%	9.9%
Raw materials	0	42.7	59.4		
Operating Exps	7486.9	9265.7	10224.7	36.6%	10.4%
Employee Cost	754.1	794.8	789.5	4.7%	-0.7%
Other Expenses	184.9	267.6	268.3	45.1%	0.3%
EBIDTA	406.1	514.5	657.1	61.8%	27.7%
Finance Cost	62.4	91.3	89.3	43.1%	-2.2%
Depreciation	303.4	392.6	409	34.8%	4.2%
PBT	61.1	93.6	189.7	210.5%	102.7%
Exceptional Items	0	0	0		
PBT (incl Exceptional)	61.1	93.6	189.7	210.5%	102.7%
Tax	30.7	30.8	53.3	73.6%	73.1%
PAT	30.4	62.8	136.4	348.7%	117.2%
Sh of Pft/ Loss of Associates	0	0.1	-3.9		
NoN Controlling Int	-2.5	-11.1	-2.7	8.0%	-75.7%
Net PAT	32.9	74	135.2	310.9%	82.7%
Adj Net PAT	32.9	74	135.2	310.9%	82.7%
Equity Capital	717.1	718.7	719.4	0.3%	0.1%
FV	10	10	10		
EPS	0.46	1.03	1.88	309.6%	82.5%
% to Revenue					
Raw materials	0.0%	0.4%	0.5%		
Operating Exps	84.8%	85.1%	85.2%		
Employee Cost	8.5%	7.3%	6.6%		
Other Expenses	2.1%	2.5%	2.2%		
EBIDTA	4.6%	4.7%	5.5%		
Tax Rate	50.2%	32.9%	28.1%		
NPM					
SEGMENTAL Revenue					
Supply Chain Management	8400.7	10452.4	11427.4	36.0%	9.3%
Enterprise Mobility	431.3	432.9	571.6	32.5%	32.0%
Total	8832	10885.3	11999	35.9%	10.2%
PBIT					
Supply Chain Management	679	639.7	749.7		
Enterprise Mobility	7.9	10.4	39		
Total	686.9	650.1	788.7		
PBIT MARGINS					
Supply Chain Management	8.1%	6.1%	6.6%		
Enterprise Mobility	1.8%	2.4%	6.8%		
Total	7.8%	6.0%	6.6%		

Outlook & Valuation

The company has building blocks in place with investments in technology

MLL logistics has an aspiration to reach Rs 10000crs revenue and a warehouse space addition of 20mn sqft (over a 5 year period) of which 4mn sqft has been contracted already. In addition to this the profitability is also expected to improve.

At CMP of Rs 475 Mahindra Logistics trades at 52x FY23e EPS of Rs 9.1 and 27x FY24e EPS of Rs 17.9. Pick-up in Auto-Industry in general which contributes approximately 58% of MLL Revenue will aid growth going forward. New launches by MLL's largest client i.e. MNM (SUV 700 and the new Scorpio) are also indicating towards a good growth in the coming quarters hence H2FY23 is expected to be very strong.

We had given **Book Partial Profits in Q4FY22 at the price of Rs 517 and the stock has corrected from those levels by 10%, we expect the scenario to improve thus would be watchful on the business growth in coming quarters hence recommend HOLD.**

Financial

P&L (Rs mn) CONSOL	FY20	FY21	FY22	FY23E	FY24E	Cash Flow St. (Rs. mn)	FY20	FY21	FY22	FY23E	FY24E
Net Sales	34,711.0	32,636.2	41,408.1	51,029.4	60,737.6	Net Profit	550.8	319.5	175.6	654.0	1,284.6
Freight Expenses	(29,341.6)	(27,643.0)	(35,497.7)	(43,683.8)	(51,728.6)	Add: Dep. & Amort.	734.3	896.5	1,417.2	1,598.4	1,689.0
Employee Cost	(3,066.6)	(2,964.6)	(3,147.0)	(3,461.7)	(3,981.0)	Cash profits (Inc)/Dec in	1,285.1	1,216.0	1,592.8	2,252.4	2,973.6
Other Expenses	(720.5)	(687.4)	(920.2)	(1,146.4)	(1,321.5)	Sundry debtors	(105.4)	500.3	62.0	(2,196.3)	(1,329.9)
Operating Profit	1,582.3	1,341.2	1,843.2	2,737.4	3,706.5	Inventories	-	-	(14.3)	14.3	-
Depreciation	(734.3)	(896.5)	(1,417.2)	(1,598.4)	(1,689.0)	Loans/advances	-	150.0	-	-	-
PBIT	848.0	444.7	426.0	1,139.0	2,017.5	Other Current Assets	(535.4)	(1,191.2)	(389.5)	(622.3)	(752.3)
Other income	139.8	174.7	135.8	110.9	101.5	Current Liab and					
Interest	(176.3)	(200.9)	(298.2)	(369.6)	(394.9)	Provisions	(127.3)	207.1	15.2	102.9	116.2
PBT	811.5	418.5	263.6	880.4	1,724.0	Sundry Creditors	171.1	1,489.1	927.2	986.5	1,054.6
Extraordinary Fixed term consultant fees	-	-	-	-	-	Change in working capital	(597.0)	1,155.3	600.6	(1,714.9)	(911.3)
Profit before tax (post exceptional)	811.5	418.5	263.6	880.4	1,724.0	CF from Oper. activities	688.1	2,371.3	2,193.4	537.5	2,062.3
Provision for tax	(257.4)	(100.2)	(112.5)	(221.6)	(433.9)	CF from Inv. activities	(1,878.7)	(2,558.3)	(3,654.2)	(1,059.0)	(529.5)
Reported PAT	554.1	318.3	151.1	658.8	1,290.1	CF from Fin. activities	1,486.4	1,168.4	805.4	219.9	108.8
MI	2.8	12.1	24.9	10.8	5.4	Cash generated/(utilised)	295.8	981.4	(655.4)	(301.6)	1,641.6
Net Profit	556.9	330.4	176.0	669.6	1,295.5	Cash at start of the year	699.5	995.3	1,976.7	1,321.3	1,019.7
Adjusted Profit (excl Exceptionals)	550.8	319.5	175.6	654.0	1,284.6	Cash at end of the year	995.3	1,976.7	1,321.3	1,019.7	2,661.3
							0.0	(0.0)	-	0.0	-
Balance Sheet	FY20	FY21	FY22	FY23E	FY24E	Ratios	FY20	FY21	FY22	FY23E	FY24E
Equity capital	715.4	717.0	719.4	719.4	719.4	OPM	4.6	4.1	4.5	5.4	6.1
CCPS	-	-	-	-	-	NPM	1.58	0.97	0.42	1.28	2.11
Reserves	4,731.1	4,964.0	5,184.0	5,658.1	6,762.8	Tax rate	(31.7)	(23.9)	(42.7)	(25.2)	(25.2)
Net worth	5,446.5	5,681.0	5,903.4	6,377.5	7,482.2	Growth Ratios (%)					
MI	54.3	28.0	2.8	(8.0)	(13.4)	Net Sales	(9.9)	(6.0)	26.9	23.2	19.0
Non Current Liabilities	1,377.0	1,963.1	2,838.1	3,121.9	3,434.1	Operating Profit	4.6	(15.2)	37.4	48.5	35.4
Current Liabilities	7,340.6	9,198.6	10,565.0	11,656.6	12,809.4	PBIT	(34.4)	(47.6)	(4.2)	167.4	77.1
TOTAL LIABILITIES	14,218.4	16,870.7	19,309.3	21,148.1	23,712.3	PAT	(35.7)	(42.0)	(45.0)	272.4	96.4
Non Current Assets	4,353.8	4,828.0	6,988.7	6,394.1	5,313.5	Per Share (Rs.)					
Fixed Assets	2,621.4	3,783.0	5,409.9	4,870.4	3,710.9	Net Earnings (EPS)	7.70	4.46	2.44	9.09	17.86
Goodwill	43.3	43.0	43.3	43.3	43.3	Cash Earnings (CPS)	18.0	17.0	22.1	31.3	41.3
Non Current Investments	31.4	-	-	-	-	Dividend	1.5	1.5	2.5	2.5	2.5
Deferred Tax Asset	199.7	221.0	268.5	144.0	144.0	Book Value	76.1	79.2	82.1	88.7	104.0
Long Term Loans and Advances	-	-	-	-	-	Free Cash Flow	(22.6)	4.8	1.6	(3.1)	25.4
Other Non Current Assets	1,458.0	781.0	1,267.0	1,336.3	1,415.3	Valuation Ratios					
Current Assets	9,864.6	12,042.7	12,320.6	14,754.0	18,398.7	P/E(x)	61.7	106.6	194.6	52.3	26.6
Current investments	-	551.0	1,160.8	1,160.8	1,160.8	P/B(x)	6.2	6.0	5.8	5.4	4.6
Inventories	-	-	14.3	-	-	EV/E B IDTA(x)	22.1	25.5	19.4	13.3	9.4
Trade Receivables	5,356.3	4,856.0	4,794.0	6,990.3	8,320.2	Div. Yield(%)	0.3	0.3	0.5	0.5	0.5
Cash and Bank Balances	995.3	1,976.7	1,321.3	1,019.7	2,661.3	FCF Yield(%)	(4.7)	1.0	0.3	(0.7)	5.3
Short Term Loans and Advances	150.0	-	-	-	-	Return Ratios (%)					
Other Current Assets	3,363.0	4,659.0	5,030.2	5,583.2	6,256.4	ROE	10%	6%	3%	10%	17%
TOTAL ASSETS	14,218.4	16,870.7	19,309.3	21,148.1	23,712.3	ROCE	11%	5%	4%	11%	17%

Source: Dalal & Broacha Research, Company

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Name	Designation	E-mail	Phone	Sector
Mr Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022-67141442	Retail FMCG Logistics
Mr Mayank Babla	Sr. Analyst	mayank.babala@dalal-broacha.com	022-67141412	IT Telecom Media
Ms. Anusha Raheja	Analyst	anusha.raheja@dalal-broacha.com	022-67141449	BFSI
Mr. Bhavya Gandhi	Associate	bhavya.gandhi@dalal-broacha.com	022-67141486	Midcaps
Mr. Miraj Shah	Associate	miraj.shah@dalal-broacha.com	022-67141489	FMCG Retail
Mr. Harsh Shah	Associate	Harsh.shah@dalal-broacha.com	022-67141496	Midcaps

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.

Tel: 91-22- 2282 2992 | E-mail: equity.research@dalal-broacha.com